



ILLUSTRATIONS BY **RAJ VERMA**

FOR GENERATIONS, SMALL savings schemes have been the bedrock of Indian household finance—a quiet, dependable habit passed down over time. Millions of families have tucked away savings in post office savings accounts or the Public Provident Fund (PPF) or invested in the National Savings Certificates or Kisan Vikas Patra. The objective was simple—to save whatever they could and hope to build a steady corpus that could be used for milestone events like higher education or wedding expenses of their children, building a house or for life post-retirement or even life-threatening illnesses.

With robust returns and tax benefits available under the erstwhile Section 80C of the Income Tax Act, 1961 (now Clause 123 of the Income Tax Act, 2025), small sav-

ings schemes initially helped “promote the habit of thrift and savings among citizens” of a newly independent India. Over the years, these schemes gained popularity and newer generations continued to invest in them.

Some of these schemes started decades ago and some are over a century old and trace their origins to the pre-Independence era. The Government Savings Bank Act was passed in 1873, and the Post Office Savings Bank of India came into existence way back in 1882. Post Independence, small savings gained more momentum, and the National Savings Organisation was set up in 1948.

Since then, many new schemes have been launched, creating a whole bouquet of products aimed at different borrowers. In recent years, the Sukanya Samriddhi Yojana was launched in January 2015 under the government’s Beti Bachao, Beti Padhao campaign. The Mahila Samman Savings Certificate Scheme was launched on